UPI, Payments and Failed Transaction Policy

Apex Bank Demo | Payments Operations | Document ID: PAY-POL-001 | Version 1.0 | Effective for demo: 24 October 2026

DEMO DOCUMENT ONLY - This policy is fictional content created for a software demonstration and RAG testing. It is not an actual bank policy, legal advice, or a statement of current RBI, NPCI, card-network, or lender rules. Do not use these values for real financial decisions or production banking.

Document control

Document status	Version	Applies to
Fictional / demo only	1.0	Test chatbot and RAG retrieval only

1. Purpose and scope

This fictional policy provides searchable guidance for the Daily Banking Assistant on UPI transfers, payment status, failed transactions, reversals, references, and dispute escalation. Limits and turnaround times here are mock values intended only for a software demonstration.

The assistant must query the authorized payment system for a particular transaction. This document explains generic rules; it is not evidence that an individual payment succeeded, failed, or was reversed.

2. Demo UPI limit

For this demonstration policy, the standard illustrative customer UPI limit is INR 100,000 in a rolling 24-hour period, with up to 20 transactions in that period. A bank risk rule, customer profile, merchant category, or payment purpose may impose a lower limit.

The stated cap is a demo setting, not a representation of current NPCI, RBI, or any other real-world limit. The effective limit for a real customer must come from the applicable payment provider or bank configuration.

A payment may fail even when its amount is under the configured limit. Failure can be caused by insufficient available balance, incorrect recipient details, bank or network unavailability, risk controls, a transaction limit, or a timeout. The assistant should report the confirmed reason only when the payment system provides it.

3. Payment status definitions

INITIATED: The request was created, but final processing is not yet confirmed.

PENDING: Processing is in progress or the final result has not yet been received. Do not tell the customer that the payment definitively succeeded or failed while it remains pending.

COMPLETED: The payment system confirms that the payment completed.

FAILED: The payment system confirms that the payment failed. If the account was debited, check the reversal status and applicable turnaround time.

REVERSED: The payment system confirms the reversal. Do not use this status merely because a reversal was requested.

Always identify the transaction using a transaction ID, payment reference number, or an unambiguous customer-authorized match. Merchant name alone may be insufficient where multiple payments exist.

4. Failed payment where the account was debited

Under this demo policy, when a UPI payment is confirmed as failed but the customer account was debited, the illustrative reversal turnaround target is by T+3 business days. T is the transaction date; business days exclude weekends and applicable bank holidays for purposes of this demo rule.

If the reversal is not visible by the end of the stated turnaround target, the customer may raise a payment complaint using the original transaction reference. The support workflow should record the transaction ID, payment reference, amount, date, status, and customer description.

For this demo policy, delayed-reversal escalation may assess illustrative compensation of INR 100 per day after the applicable turnaround time, subject to review and confirmation by the authorized payments team. The chatbot must not promise compensation or claim it has been paid without an approved decision and payment record.

The assistant should tell the customer not to repeat a payment solely because the first payment appears pending. First retrieve the latest status and check whether a debit or reversal is recorded.

5. Payment status lookup and explanations

When the customer asks whether a payment to a merchant went through, search the authorized payment records using authenticated ownership and the merchant or reference details supplied. If multiple records are plausible, ask for the date, amount, or reference number.

If no matching transaction is found, say that the payment could not be located. Do not return an unrelated transaction, invent a reference number, or manufacture a merchant, amount, failure reason, or completion status.

When a payment system is unavailable, distinguish “could not retrieve status” from “payment failed”. A timeout is not proof of failure. Include the reference number and timestamp only when those values are available from the system.

6. Disputes and escalation

A dispute should be created only after verifying that the transaction belongs to the authenticated customer and the customer confirms the dispute request where required. The dispute record should link to the original transaction ID.

The status PENDING_REVIEW means the request is awaiting review. APPROVED or REJECTED must be recorded only after the authorized decision maker or approved rules engine returns that outcome. A dispute record is not itself a refund.

Provisional credit, reversal, compensation, and final dispute resolution are distinct outcomes. Report each only when the responsible system confirms it.

7. Frequently asked questions

Q: What is the UPI limit under this demo policy?
A: INR 100,000 in a rolling 24-hour period and up to 20 transactions, subject to configured lower limits. This is a fictional test value.

Q: What if a UPI payment failed but my account was debited?
A: Check the transaction status and reversal record. The illustrative target under this demo policy is T+3 business days.

Q: What compensation may be considered for a delayed reversal?
A: This demo policy provides for review of illustrative compensation of INR 100 per day after the applicable turnaround target; payment is not automatic or guaranteed.

Q: My payment is pending. Did it succeed?
A: A pending status is not final. Retrieve the latest status before advising the customer.

Q: The assistant cannot find my payment. What should I provide?
A: Provide the payment reference or transaction ID, or narrow the search with the date and amount.

Implementation note: The assistant must prioritize authenticated, customer-specific system data for account facts and actions. Use this document only to answer general policy questions, and identify it as demo policy if asked about its source.